HgCapital Trust plc: £250m NAV facility against 12 Hg fund interests

As of 11 November 2026 · Borrowing base: NAV at 30 September 2026 (Q3 report, published 5 November 2026) · Manager: Hg · SONIA 3.98%

APPROVE

£250m five-year senior secured term loan at SONIA + 6.25% and a 1.5% fee, an all-in yield of 10.5%, pari passu with HgT's £450m bank RCF and conditional on Hg's consent, as general partner, to the security and to a sale on enforcement. Day-one LTV is 16.4% once drawn, against a 30% covenant: fund NAV can fall 45% before it trips and 81% before a forced sale fails to repay the loan. The binding risk is HgT's £1.8bn of expected capital calls against £286m of liquidity, not the collateral. HgT has not sought it and probably would not take it today; this is how a lender would size and price it if asked.

BORROWING BASE, 30 SEPTEMBER 2026 (£M)

Portfolio valuation, HgT's look-through share	3,247.1
Fund NAV facilities and subscription lines (30 June)	(522.0)
Performance-fee provision less other fund assets (derived)	(118.6)
HgT's fund interests: the collateral	**2,606.5**
Value above a 10% single-name cap (Visma, 12.9%)	(76.0)
Eligible NAV	**2,530.4**
Memo: HgT net assets (539.1p a share)	2,442.1
Memo: trust net debt (£450m RCF less £286m liquidity)	164.0

Collateral = net assets + trust net debt (derived). Fund-level debt and residual cost are at 30 June, one quarter older than the NAV. Top 10 holdings are 55.8% of value and the top 20 75.1%, the equivalent of 21 equal holdings.

PROPOSED TERMS

Facility	£250m senior secured term loan, five years; pari passu with the RCF under an intercreditor
Security	The 12 LP interests (or a holding SPV's shares), shared with the RCF, and the distribution account
Consent (CP)	Hg, as GP, to the security and to a sale on enforcement
Covenant	LTV at most 30% of eligible NAV, tested quarterly
Cash sweep	10% of distributions up to 15% LTV; 25% to 20%; 50% to 25%; 100% above
Incurrence	No debt-funded calls or buybacks above 20% LTV; dividends stop above 25%
PIK toggle	Up to 50% of interest in years 1–2, at +0.50%
Pricing	SONIA + 6.25% (5.75–6.75%), 1.5% OID; non-call one year, then 2% and 1%

Markers: NAV margins averaged 435bp at banks and 794bp at non-bank lenders in August 2026 (Corpay); HgT's RCF is at SONIA + 3.00%. 36% of 2025 primary NAV facilities closed at 10–25% LTV (Proskauer).

SIZING GRID, FACILITY FULLY DRAWN

Day-one LTV	10.0%	12.5%	15.0%	16.4%	20.0%	25.0%
Facility (£m)	89	152	216	250	342	469
Severe case, day-one LTV	21.6%	27.0%	32.4%	35.3%	43.2%	54.0%

The severe case stays inside the 30% covenant up to a £188m facility (13.9% LTV), the size I would cut to if diligence disappoints.

WHAT RANKS AHEAD OF THE LOAN (LOOK-THROUGH, £M)

Layer	£m	Cumulative % of EV
Portfolio-company net debt (band estimate)	1,509	31.7%
Fund NAV facilities and subscription lines	522	42.7%
HgT RCF (net) and this facility, pari passu	414	51.4%
Carry provision and HgT equity	2,311	100.0%
Look-through EV, at 22.6x LTM EBITDA	**4,756**	

Two bases: HgT reports 6.7x debt to EBITDA, value-weighted (debt about 30% of EV); aggregated by leverage band it is 7.2x. The covenant trips at 16.3x EBITDA (EV −28%); a forced sale at a 15% discount first fails to repay the loan at 11.9x (EV −48%). Only 4% of value is marked below 15x.

STRESS AT CLOSE: VALUE, LTV AND THE FIVE-YEAR PATH

Shock	EV	Equity	NAV/share	LTV drawn	Peak LTV	Opt-outs
Base	–	–	–	16.4%	18.2%	24%
EBITDA −20%	−20.0%	−29.3%	−33.6%	23.9%	20.0%	50%
Multiple −2x	−8.8%	−13.0%	−14.8%	19.0%	20.0%	36%
Multiple −3x	−13.3%	−19.4%	−22.3%	20.7%	20.0%	41%
Exits +2 years	–	–	–	16.4%	20.0%	46%
Visma −50%	–	−6.5%	−7.4%	17.1%	18.0%	30%
Severe (all four)	−30.6%	−48.4%	−58.6%	35.3%	23.2%	93%

LTV drawn = shock after the facility is spent; peak LTV = five-year path with proceeds as pledged cash; opt-outs = share of expected calls HgT skips under the 20% cap. Severe = EBITDA −20%, −3x, Visma −50% and exits +2 years. Lender IRR is 10.8–10.9% in every row, with no loss. Weakest-year interest cover: 7.2x base, 2.5x severe (1.2x without PIK). Sale discounts (15%; 30% in stress) are my assumptions: no named stress loses unless a sale clears more than 80% below NAV.

LOAN VERSUS PREFERRED EQUITY ON THE SAME PORTFOLIO

	Loan £250m	Preferred £652m
Claim as % of fund NAV at close	16.4%	25.0%
Base IRR / MOIC	10.8% / 1.39x	14.1% / 1.33x
Severe case IRR	10.8%	12.0%
Loss if fund NAV falls 50% / 70% / 80%	none / none / £29m	£37m / £481m / £704m

Preferred terms are assumptions: 12% compounding, 100% of distributions until repaid, then 10% to year 5; no covenant. Tails delay exits two years and assume no growth and a 30% sale discount.

KEY JUDGEMENTS

- **Equity falls faster than EV.** With debt at 32% of EV, a 20% EBITDA fall cuts portfolio equity by 29% and NAV per share by 34%; equity in the over-10x band (14% of value) falls 40%.
- **Cash is the constraint.** Fund facilities took 14% of 2025's £215m of gross realisations. HgT received £195m and paid £220m of calls in 2025, then £34m against £114m in H1 2026.
- **Would HgT borrow? Probably not today.** Over five years £250m costs it £67m of NAV at its 6.7% five-year return and adds £93m at its 15.1% ten-year return; its 7.0% RCF is cheaper.
- **Enforcement runs through Hg** as GP: an LP may assign only with GP consent (Limited Partnerships Act 1907). Sale discounts are calibrated to buyout LP pricing of 91% of NAV in H1 2026.

Sources. HgCapital Trust Q3 report (published 5 November 2026), Interim Report & Accounts 2026 and Annual Report & Accounts 2025; Bank of England (SONIA, 9 November 2026); Proskauer NAV financing survey FY2025; Corpay via Alternative Credit Investor (29 October 2026); Jefferies and Evercore secondary market reviews (July 2026); Cogent Partners via Unquote (January 2009); Ogier (October 2025); Limited Partnerships Act 1907. My assumptions are flagged in the model.

Disclosure. Independent analysis of public information. HgT has a £450m bank RCF and has not sought this facility. Not commissioned, reviewed or endorsed by HgCapital Trust, Hg or any lender. Not investment advice. Full memo (6 pages plus appendix) and Excel model available on request.

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